it. When matched up with bonds, bills, and commodities (gold), stocks are by far the big winner in terms of long-run cumulative return.

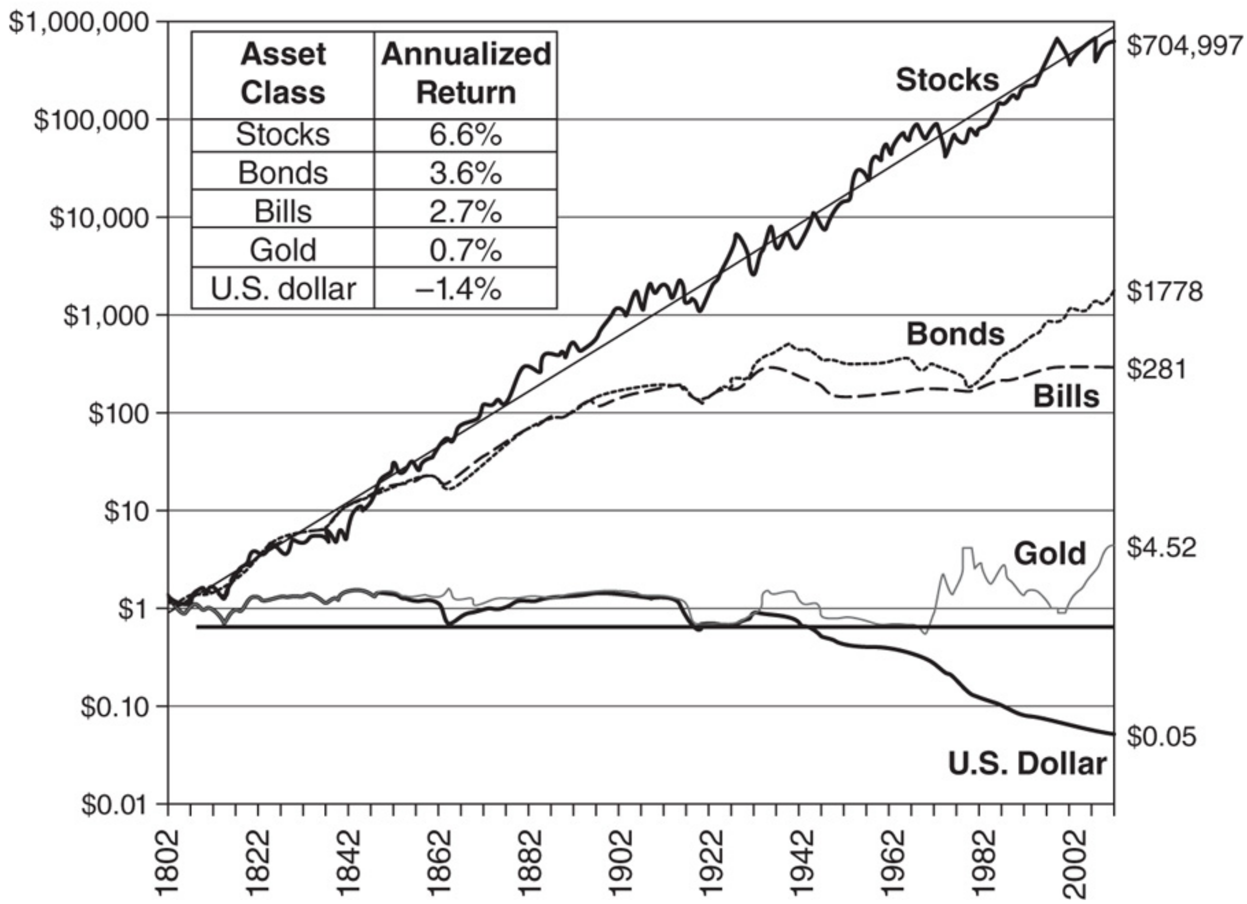

Figure 5.2 Real Returns: Stocks, Bonds, Bills, Gold, and the U.S. Dollar, 1802–2012

(Source: Jeremy Siegel, Stocks for the Long Run)

Only about half of U.S. households hold equities, including what they have as retirement assets. In their paper “Myopic Loss Aversion and the Equity Premium Puzzle,” Bernartzi and Thaler (1995) make the case that investors do not hold more stocks relative to bonds because investors focus too much on short-term performance and volatility instead of long-term performance goals. This loss aversion leads to reduced stock holdings, lower stock prices, and increased equity risk premiums. By focusing more on the big picture and less on short-term volatility, one may be able to stay in the markets longer term and capture this high equity risk premium. As we will